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August 29, 2022

Ms. Terri Lemoine Bordelon
Records and Recording Division
Louisiana Public Service Commission
602 N. 5th St.
Baton Rouge, LA 70802-5312

Via Hand Delivery

IN RE: SOUTHWEST LOUISIANA ELECTRIC MEMBERSHIP CORPORATION'S, NEXTERA ENERGY MARKETING, LLC'S AND BEAUREGARD SOLAR, LLC'S JOINT APPLICATION FOR APPROVAL OF POWER SUPPLY AGREEMENTS

Dear Ms. Bordelon:

Enclosed please find Southwest Louisiana Electric Membership Corporation's, NextEra Energy Marketing, LLC's and Beauregard Solar, LLC's Joint Application for Approval of Power Supply Agreements. We are providing an original and one hard copy of the application and exhibits as well as two thumbdrives, one containing a confidential version of the application and exhibits and the other containing a public version of the application and exhibits. Also provided is a hard copy of the application and exhibits which I ask that you please date stamp and return to me for completion of my file.

With kind regards, we are,

Very truly yours,

DAVIDSON, MEAUX, SONNIER, McELLIGOTT, FONTENOT, GIDEON & EDWARDS

THEODORE G. EDWARDS, IV
CHRISTOPHER J. PIASECKI

TGEIV/CJP/hn
Enclosures

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AUG 29 2022
LA Public Service Commission

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION
DOCKET NO. U-_____

SOUTHWEST LOUISIANA ELECTRIC MEMBERSHIP CORPORATION'S, NEXTERA ENERGY MARKETING, LLC'S AND BEAUREGARD SOLAR, LLC'S JOINT APPLICATION FOR APPROVAL OF POWER SUPPLY AGREEMENTS

Southwest Louisiana Electric Membership Corporation ("SLEMCO"), NextEra Energy Marketing, LLC ("NEM") and Beauregard Solar, LLC ("Beauregard Solar") respectfully submit this Joint Application seeking the Louisiana Public Service Commission's ("LPSC's") approval and certification of two (2) long-term power supply agreements. These two (2) power supply agreements will supply SLEMCO's members with power after the expiration of SLEMCO's current power supply contract which terminates on March 31, 2025, including the next 9.75 years under the NEM full requirements power supply agreement ("NEM PSA") and the next 25 years under the Beauregard Solar power purchase agreement ("Beauregard Solar PPA"). This Joint Application is filed in accordance with the LPSC's General Order dated September 20, 1983 ("1983 General Order"),[1] as supplemented by the LPSC's Market-Based Mechanisms General Order ("MBM Order").[2]

The Joint Applicants have entered into two (2) companion power supply contracts ("the NextEra Agreements") for which they seek LPSC's approval in this docket. The first agreement is a PSA between SLEMCO and NEM executed on July 15, 2022, a confidential copy of which

[1] LPSC General Order dated September 20, 1983 (In re: In the Matter of the Expansion of Utility Power Plant; Proposed Certification of New Plant by the LPSC), as amended by General Order (Corrected) in Docket No. R-30517 (In re: Possible modifications to the September 20, 1983 General Order to allow (1) for more expeditious certifications of limited-term resource procurements and (2) an exception for annual and seasonal liquidated damages block energy purchases) dated October 29, 2008.

[2] General Order, Docket No. R-26172 Subdocket A, In re: Development of Market-Based Mechanisms to Evaluate Proposals to Construct or Acquire Generating Capacity to Meeting Native Load, Supplements the September 20, 1983 General Order, dated February 16, 2004 (as amended by General Order, Docket No. R-26172 Subdocket B, dated November 3, 2006, and further amended by the April 26, 2007 General Order, and the amendments approved by the LPSC at its October 15, 2008 Business and Executive Meeting and now in General Order, Docket No. R-26172, Subdocket C dated October 29, 2008).

is attached hereto as Highly Sensitive Protected Material ("HSPM") Exhibit A.[3] The second agreement is a solar power purchase agreement between SLEMCO and Beauregard Solar executed on July 6, 2022, a confidential copy of which is attached hereto as HSPM Exhibit B.[4]

NEM and Beauregard Solar are affiliated entities. The NEM PSA and the Beauregard Solar PPA are referred to herein collectively as the "NextEra Agreements." The NEM PSA and Beauregard Solar PPA provide for SLEMCO to receive a portion of its power from the Beauregard Solar PPA, with the NEM PSA providing the remainder of SLEMCO's power needs.[5] SLEMCO will begin receiving power under the NextEra Agreements on April 1, 2025, if this Joint Application is approved.

INTRODUCTION

1.

SLEMCO is an electric cooperative formed in 1937 and existing pursuant to the Louisiana Electric Cooperative Law, La. R.S. 12:401, et seq. SLEMCO serves approximately 114,000 meters in the parishes of Acadia, Avoyelles, Cameron, Evangeline, Iberia, Lafayette, St. Landry, St. Martin, and Vermilion.

2.

The LPSC exercises regulatory jurisdiction over SLEMCO pursuant to Article IV, Section 21(B) of the Louisiana Constitution, which includes the authority to approve and certify the NextEra Agreements.

[3] Filed pursuant to Rule 12.1.
[4] Filed pursuant to Rule 12.1.
[5] A small portion of SLEMCO's power will continue to be supplied pursuant to an agreement with Southwestern Power Administration ("SWPA").

3.

SLEMCO is a transmission dependent utility that does not own any generating assets. SLEMCO currently obtains substantially all of the power needed by its members pursuant to two (2) agreements: (a) a Power Supply and Service Agreement with Louisiana Generating, LLC ("LaGen"), which expires on March 31, 2025 ("LaGen PSA"), and (b) an agreement with the United States of America represented by the Secretary of Energy acting by and through the Administrator, Southwestern Power Administration ("SWPA") that provides hydroelectric power. The SWPA Agreement would not be affected by the transition from the LaGen PSA to the NextEra Agreements. If approved by the LPSC, the NextEra Agreements would take effect on April 1, 2025, and replace all of the power that SLEMCO currently receives under the existing LaGen PSA.

4.

NEM is a direct, wholly-owned subsidiary of NextEra Energy Resources, LLC ("NEER") which is a wholly-owned subsidiary of NextEra Energy, Inc ("NextEra"). NEER is the world's largest operator of wind and solar projects, and has approximately 20 gigawatts ("GW") of wind energy across North America and approximately 4 GW of solar as of March 31, 2022. NEM is the wholesale power marketing and trading arm of NEER. NEM manages a diverse portfolio exceeding 28 gigawatts[6] nationwide and is one of the largest suppliers of wholesale electricity and electricity related products to public power entities, including generation and transmission cooperatives, distribution cooperatives, municipal utility aggregations, and municipal utilities. NEM serves over 18 million megawatt-hours (MWh) of wholesale power annually to public power customers, including approximately 4 million MWh in MISO. NEM is the counterparty

[6] As of December 32, 2021.

to the NEM PSA. The NEM PSA involves the provision of a wholesale service by NEM. Under the NEM PSA, NEM will not directly provide electricity to retail customers in Louisiana.

5.

Beauregard Solar is an indirect wholly-owned subsidiary of NEER. Beauregard Solar is the counter-party to the Beauregard Solar PPA and is developing a 200 megawatt solar facility to be located in Beauregard Parish, Louisiana, with a guaranteed commercial operation date of April 1, 2025. The Beauregard Solar PPA involves the provision of a wholesale service by Beauregard Solar. SLEMCO is contractually required to purchase 100% of the output from the Beauregard Solar facility beginning in April 1, 2025 for 25 years.

6.

SLEMCO chose to enter into the NextEra Agreements based an evaluation of responses it received to a 2020 Request for Proposals ("RFP") in LPSC Docket No. X-35741[7]. The NextEra Agreements provide SLEMCO with the best wholesale power option for its members at the lowest reasonable costs. SLEMCO chose the NextEra Agreements from among numerous options offered by numerous parties in the competitive RFP bid process.

7.

In support of this Joint Application, SLEMCO submits testimony from (i) Jim Laque, attached hereto as Exhibit C; (ii) Kathleen Kelly, attached hereto as Exhibit D; (iii) Louisa Lund, attached hereto as Exhibit E; and (iv) Douglas Smith, attached hereto as Exhibit F; while NEM submits the testimony of Michael Toal, attached hereto as Exhibit G; and Beauregard Solar submits the testimony of Robert Michalczak, attached hereto as Exhibit H. The purpose of their respective testimonies is as follows:

[7] In re: Request for Proposals for Power Purchase Contracts and/or Generating Capacity Pursuant to the LPSC's Market Based Mechanism Order.

(i) Mr. Laque, SLEMCO's Director of Engineering, provides an overview of SLEMCO, explains why and how SLEMCO decided to conduct the RFP, discusses the impact the NextEra Agreements will have on SLEMCO's rates, offers an overview of the Joint Application, and introduces testimony of other SLEMCO witnesses supporting the Joint Application;

(ii) Ms. Kelly, who is a Vice President and Principal Consultant with Daymark Energy Advisors, Inc. ("Daymark"), provides a detailed overview of the RFP process, explains how the selection of the NextEra Agreements complies with the applicable LPSC General Orders, and addresses why the NextEra Agreements are in the best interest of SLEMCO's members and in the public interest;

(iii) Ms. Lund, who is a Senior Consultant with Daymark, provides additional information regarding her work on the matters addressed in Ms. Kelly's testimony including leading the qualitative evaluation of the Bids received and how the quantitative and qualitative evaluation results were used together to make recommendations for preferred solutions;

(iv) Mr. Smith, who is a Vice President and Principal Consultant with Daymark, provides additional testimony on his work leading the quantitative evaluation of the bids and other matters addressed in Ms. Kelly's testimony;

(v) Mr. Toal, who is Vice President of Power Origination for NEM, provides an overview of (i) NEM and its capabilities; (2) the services to be provided by NEM under the NEM PSA; (3) how NEM has successfully performed similar services for public power entities; and (4) additional benefits provided to SLEMCO under the NEM PSA; and

(vi) Robert Michalczak, who is Vice President - Renewable Origination and Development for NEER, provides an overview of (1) NEER and its capabilities to construct, operate, and

maintain the Beauregard Solar project; (2) the services Beauregard Solar will provide under the Beauregard Solar PPA; and (3) how such services are safe and reliable.

OVERVIEW OF NEXTERA AGREEMENTS

8.

As more fully discussed in the attached testimony, SLEMCO selected the NEM PSA and the Beauregard Solar PPA with the NextEra affiliates after a competitive bid process because the NextEra Agreements give SLEMCO the best option for providing safe and reliable power to its members at the lowest reasonable cost.

9.

SLEMCO hired Daymark to assist it in conducting the RFP and evaluating bids from various potential suppliers.

RFP AND EVALUATION PROCESS

10.

In compliance with the LPSC's MBM Order, SLEMCO issued its final RFP on December 23, 2020, following a public comment period including a technical conference for bidders. The RFP sought proposals to supply full or partial portions of SLEMCO's wholesale electric requirements to enable SLEMCO to serve its load. The RFP was designed to allow SLEMCO to receive diverse bids from a broad set of bidders to enable SLEMCO to assess a wide range of potential supply options. SLEMCO was able to consider and evaluate the various options and to select the best option that satisfies the needs and requirements of SLEMCO as defined in the RFP and consistent with the MBM Order.

11.

The RFP evaluation was conducted in three phases. The initial phase screened proposals for compliance with mandatory proposal requirements. In the second phase, bids that satisfied the mandatory requirements screening phase were reviewed for cost, reliability, risk, flexibility, adaptability to change over time, and the ability to either meet all of SLEMCO's wholesale power supply needs or potentially to be integrated into a portfolio that could meet all projected needs. Phase 3 consisted of direct comparisons of each option to meet SLEMCO's full needs, negotiations with shortlisted bidders, and bid proposal selection leading to the filing of this application.

12.

In March 2021, during Phase 1 of the RFP process, SLEMCO received 61 proposals from 23 unique suppliers. SLEMCO performed its Phase 1 and 2 evaluations and moved forward with 4 individual suppliers into Phase 3.

13.

As Phase 3 continued forward, SLEMCO requested individual suppliers who were not eliminated from consideration to begin with negotiations. The final selection by SLEMCO was based on a combination of factors including, but not limited to, being cost-effective and reliable, having appropriate risk, flexibility and adaptability to change over time, being environmentally friendly and beneficial to the community, while being conducive to low and competitive member rates. At the conclusion of Phase 3, SLEMCO selected the NextEra Agreements as the best solution for SLEMCO's members.

14.

The MBM Order requires the participation of an Independent Monitor for procurements that involve potential self-build or self-supply options. However, because SLEMCO did not pursue self-build or self-supply options in its RFP, the Independent Monitor requirement did not apply to SLEMCO's RFP. However, LPSC Docket X-35741 did provide to the LPSC's Staff and the LPSC's Staff outside consultant and attorneys the ability to monitor the RFP and SLEMCO updated the LPSC's Staff and the LPSC's Staff outside consultants and attorneys throughout the RFP process.

COMPLIANCE WITH APPLICABLE LPSC RULES AND ORDERS

15.

Two LPSC Orders are implicated by the proposed certification of the NextEra Agreements. The first is the LPSC's 1983 General Order. The second is the MBM Order. The NextEra Agreements are consistent with these orders and in the public interest. As Mr. Laque explains in his testimony, the RFP process was conducted in a fair and transparent way with objective analyses guiding SLEMCO's decisions during the process. As Ms. Kelly discusses in her testimony, the pricing provisions of the NextEra Agreements resulted from a formal RFP, and the pricing provisions are fair and reasonable and in the best interest of SLEMCO's members. SLEMCO also seeks approval pursuant to the LPSC's November 13, 1996, General Order to provide security for its obligations under the NextEra Agreements according to the terms of those agreements.

REQUEST FOR TIMELY TREATMENT

16.

The Joint Applicants are requesting that the LPSC direct or establish a procedural schedule in accordance with the 120-day certification period set forth in the 1983 General Order. The 120-day requirement in the LPSC's 1983 General Order recognizes the importance of timely feedback from the LPSC because, if the LPSC determines that a proposed option does not serve the public interest, SLEMCO must then pursue other options. Additionally, due to the timing of the LPSC process, the final pricing of the energy baseload supply component of the NEM PSA will not be finalized until a final LPSC order is issued.

RATE IMPACT

17.

As explained by Mr. Laque's testimony, the NextEra Agreements are the best option for lowering SLEMCO's expected wholesale power cost. The NextEra Agreements also provide the ability to mitigate potential sustained higher fuel prices. This flexible low cost option will translate directly into lower rates paid by SLEMCO's members compared to other options. Certification of the NextEra Agreements is in the public interest because certification will directly benefit SLEMCO's members and the public in general.

REQUEST FOR CONFIDENTIAL TREATMENT

18.

The NextEra Agreements are considered by the Joint Applicants to be proprietary and confidential and are being filed under seal pursuant to Rule 12.1. The Joint Applicants anticipate that parties to this proceeding may seek discovery of matters that are confidential. Attached hereto as Exhibit I is a draft Confidentiality Agreement that may be used to facilitate the

exchange of confidential information while still protecting information from disclosure to an appropriate extent.

PRAYER FOR RELIEF

WHEREFORE, for the reasons set forth above and in the supporting testimony of this Joint Application, the Joint Applicants pray that the LPSC grant the following relief and issue an Order:

1. Finding that the NextEra Agreements serve the public convenience and necessity and are in the public interest, and therefore prudent, in accordance with the LPSC's 1983 General Order;
2. Finding that the NextEra Agreements meet the requirements of the MBM Order;
3. Approving the terms, conditions, rights, remedies, and limitations set forth in the NextEra Agreements;
4. Directing that the period for interventions and protests be shortened to **fifteen (15) days** and that a scheduling conference be held the week following the close of the intervention period;
5. Developing and implementing appropriate procedures to facilitate an LPSC decision on the Joint Application consistent with the **120-day requirement** in the LPSC's 1983 General Order; and
6. Ordering such other general and equitable relief to which the LPSC has authority to grant pursuant to the Louisiana State Constitution and the laws of this state to which the Joint Applicants may be so entitled in this proceeding.

Respectfully submitted,

DAVIDSON, MEAUX, SONNIER, McELLIGOTT, FONTENOT, GIDEON & EDWARDS, LLP

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Respectfully submitted,

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BY: _____

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[8] Appearing pursuant to Rule 11.